Micron Technology, Inc.

MU NASDAQ

Hold	$869.84 ▼ 6.90%	12M Price Target $950.00	52-Week Range $192.59 – $1255.00	Market Cap $984.16B

MU: AI Memory Darling Takes a Breather After Blowout Run

WHAT HAPPENED

- MU got whacked -6.9% today after a monster 3-day run from $903 → $983 (that's +9% in 3 days). This looks like classic profit-taking after a parabolic move, not a fundamental break — no news, no filings, nothing in the overnight tape.
- The options flow is screaming caution though: traders bought 76,000+ puts (bets the stock falls) at $880-900 strikes expiring tomorrow, which is HUGE volume vs. existing open interest. That's either hedging or someone with conviction the pullback has more room to run short-term.

WHY IT MATTERS

Here's what I think is actually happening: MU has nearly 5x'd from the 52-week low ($192) and the stock is in that euphoric late-stage AI trade phase where any single down day triggers big de-risking. The massive put buying at near-the-money strikes expiring in days tells me institutions are locking in gains, not betting on a crash — but it does mean the easy money is gone and we're entering a "prove it with earnings" phase. The bigger picture: HBM memory (the stuff Nvidia GPUs need) is sold out through 2027, and MU is one of only three suppliers globally, so the demand story is intact. But at a ~$984B market cap, the stock is pricing in near-perfect execution — any hiccup on yields, pricing, or China gets punished violently like today.

POLICY & POLITICAL WATCH

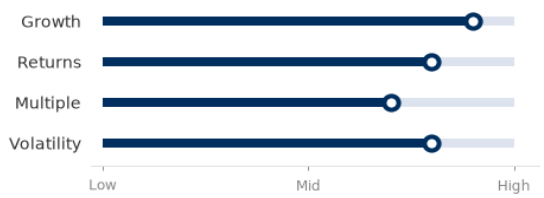
The biggest policy tailwind right now is the CHIPS Act 2.0 expansion being debated — MU already got ~$6.1B from the original CHIPS Act for its Idaho and NY fabs, and any extension (which has bipartisan support) directly subsidizes their capacity buildout. On the flip side, watch the Commerce Department's updated export controls to China expected this quarter — MU does ~11% of revenue in China, and tighter rules on advanced memory shipments could sting. Also keep an eye on the AI Diffusion Rule framework the administration is reworking: if it eases restrictions on allied countries getting high-end chips, MU benefits because HBM goes wherever Nvidia goes.

IS IT EXPENSIVE?

MU trades at roughly 47x forward earnings — meaning you're paying $47 today for every $1 of profit expected next year. That's expensive historically (MU usually trades 10-15x in cycle troughs) but memory is cyclical, so investors are betting we're early in a multi-year up-cycle driven by AI. The real question: is this a $50B earnings company in 2028, or does supply catch up and crush pricing? At today's price, the market says the former — leaving little room for disappointment.

Key Data	
Price (USD)	**$869.84**
12M Price Target	**$950.00**
Upside / (Downside)	**+9.2%**
Market Cap	**$984.16B**
FY2026E Revenue	**$54M**
FY2027E Revenue	**$68M**
FY2026E EPS	**$18.40**
FY2027E EPS	**$26.75**
Fwd P/E	**47.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

MU — Micron Technology, Inc. | October 30, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$980.00**	$900.00	**$780.00**
6 Months	**$1150.00**	$975.00	**$720.00**
1 Year	**$1300.00**	$1050.00	**$650.00**
2 Years	**$1600.00**	$1200.00	**$600.00**
5 Years	**$2200.00**	$1500.00	**$500.00**
10 Years	**$3500.00**	$2200.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples, Utilities, Healthcare — this is textbook defensive rotation. When defensives lead and tech sells off, it means money is getting nervous about valuations. Utilities specifically are benefiting from the AI power demand story AND their defensive dividend profile.

COOLING OFF: Tech (specifically high-flying semis like MU) — nothing broken fundamentally, just profit-taking after an insane run. Materials also soft, suggesting some growth concern creeping in.

ROTATION WATCH: Money is moving from offense (semis, AI) to defense (staples, utilities, healthcare) today — that's a short-term risk-off signal. If this persists more than a few days, it means the "AI trade" needs a breather, which caps MU's near-term upside.

RELATED PLAY: Data center power is the shadow trade here — Vistra (VST), Constellation (CEG), and GE Vernova (GEV) benefit from the same AI buildout that drives MU, but with less memory-cycle risk. Also watch ASML and Applied Materials — the picks-and-shovels of the fab expansion MU is funding.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — if NVDA holds up while MU sells off, it confirms today is MU-specific profit-taking, not an AI trade breakdown.
- AVGO (Broadcom): Custom AI chip wins keep stacking up, less memory-cycle exposure than MU — a cleaner AI play for conservative investors.

MU CONTEXT: MU has been LEADING the semi group for months — today it's lagging, which usually means the stock is working off overbought conditions, not that the story is broken. If NVDA and AVGO also roll over tomorrow, worry. If they hold, this is a buyable dip in a few weeks.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $800-850 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing crack, Samsung/SK Hynix capacity surge, or China export rules tightening further

Hedging: Pair with a short on SOXX (semi ETF) or buy protective puts 10% OTM

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